

WASIT

MEZO BUILDATHON · WAVE 2

Protecting advance payments in stablecoin trade.

A BTC bond on Mezo stands behind the supplier's production advance. The balance waits in MUSD escrow until named people sign.

Live on Mezo testnet · wasit.app · github.com/farouk-allani/wasit

THE PROBLEM

The advance leaves before the goods exist.

30%

A common production deposit, paid to the supplier before anything is made.

Final

A stablecoin transfer cannot be pulled back. If the supplier goes quiet, so does the money.

41%

of SME trade-finance requests are rejected, so the bank route, a letter of credit, is often closed to small firms.

41%: Asian Development Bank, Global Trade Finance Gap Survey, press release of 4 Feb 2026 (large and mid-size firms: 40%).

HOW IT WORKS

Bitcoin behind the advance. The balance waits for signatures.

1 **Terms fixed first**

Buyer, supplier, inspector, carrier, arbiter, amounts, deadlines and a hash of the terms document are set before money moves.

2 **BTC bond**

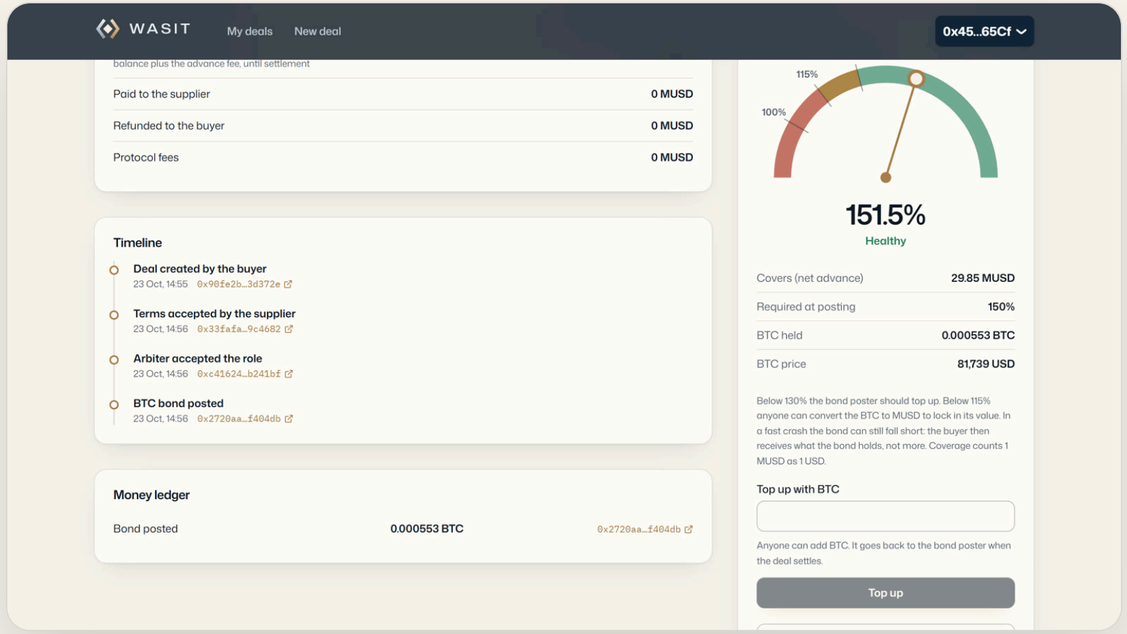
The supplier or their sourcing agent locks BTC on Mezo, 150% of the net advance in our deals, priced by MUSD's own PriceFeed (Skip BTC/USD underneath).

3 **Advance to the supplier**

The buyer pays the advance in MUSD with one permit signature. It goes straight to the supplier for production.

4 **Balance on signatures**

The balance is held in MUSD escrow. It is released after the inspector signs READY, the carrier signs SHIPPED and a challenge window passes.

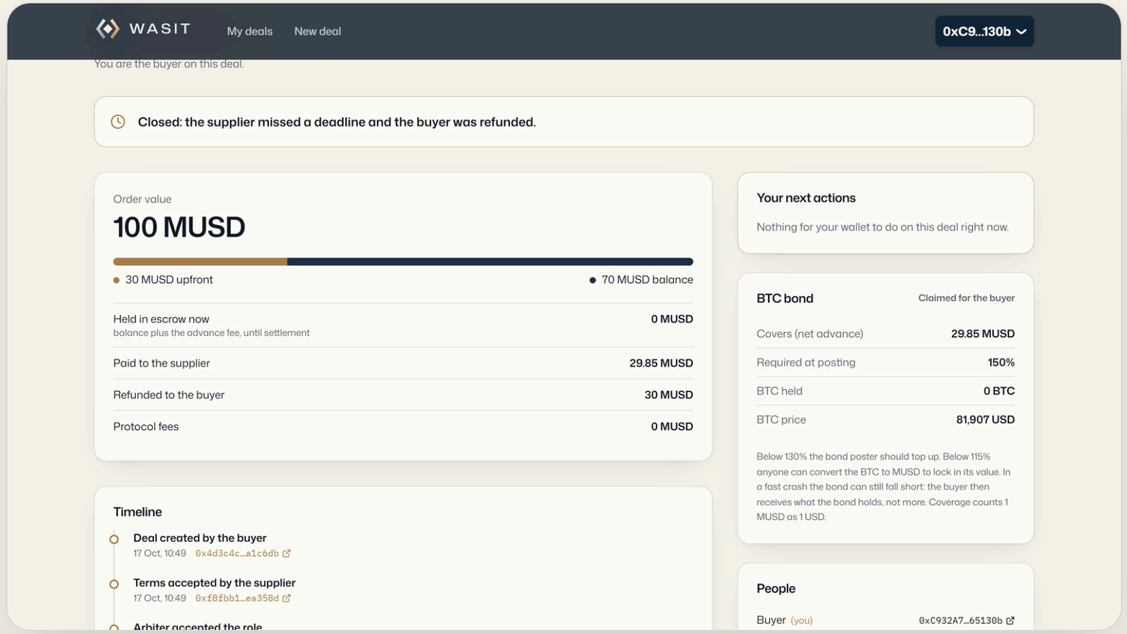


Deal page on testnet: bond coverage 151.5%, every event linked to the explorer.

WHEN IT GOES WRONG

Every exit is written into the deal, and none can be paused.

IF	THEN
The supplier misses a deadline	The escrow refunds what it holds; the bond pays the advance back to the buyer
The buyer never funds the balance	The supplier keeps the advance
The buyer disputes	The named arbiter splits the balance and decides the bond
BTC falls below 130% coverage	The bond poster is asked to top up
BTC falls below 115% coverage	Anyone can convert the bond to MUSD, so its value stops falling with BTC



Live deal #3: the supplier missed the production deadline and the buyer got all 30 MUSD back.

WAVE 2 · TROVE MODE

A bond made of MUSD, borrowed against BTC on Mezo.

1. **BTC opens a trove**

   The bond poster's BTC opens a trove in a vault made for this deal. The trove lends at least 1,800 MUSD, and that MUSD stays in the vault as the bond.

2. **Default pays in MUSD**

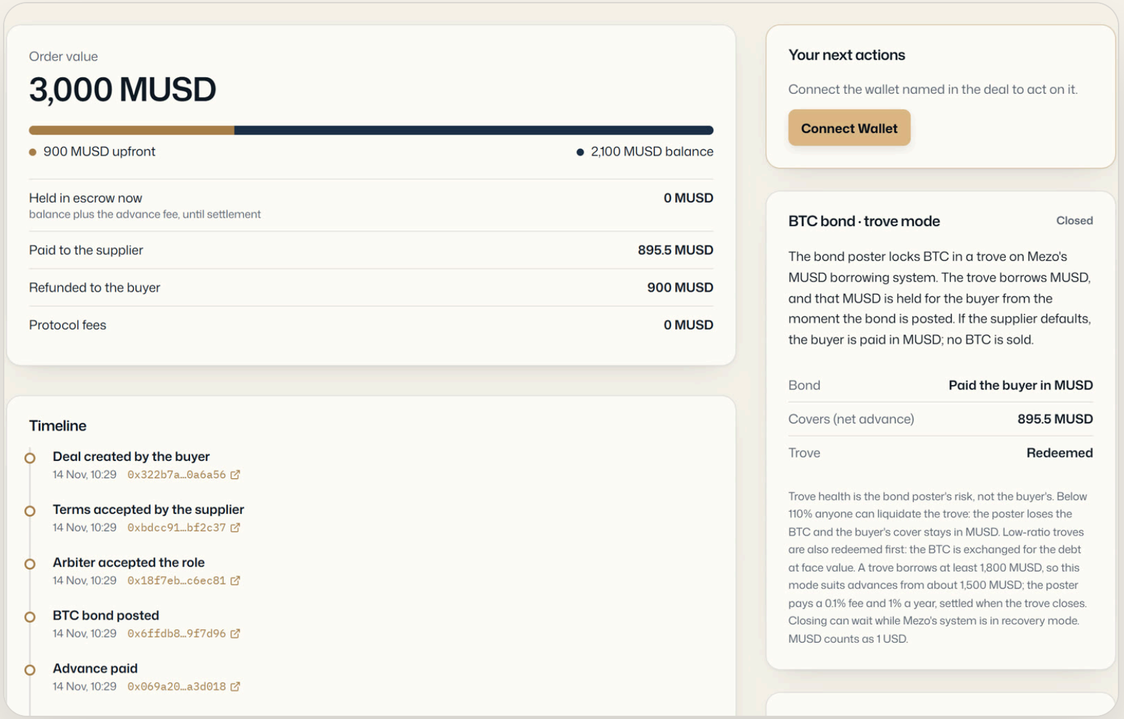
   If the supplier misses a deadline, the buyer is paid from the vault. No BTC is sold: no swap, no slippage.

3. **BTC risk sits with the poster**

   Below 110% the trove can be liquidated or redeemed; the vault keeps its MUSD. Cost to the poster: 0.1% plus 1% a year.

4. **Live on testnet**

   Order 3,000 MUSD: the vault paid the buyer 895.5 MUSD. An outside bot redeemed the trove mid-deal; the poster still got the rest back.



Trove deal #1 on testnet: supplier default, the buyer paid in MUSD from the vault.

BUILT ON MEZO

Each deal is MUSD demand from people who trade goods.

MUSD

Settlement currency for advance, balance and refunds, paid with EIP-2612 permits.

BTC on Mezo

Bond collateral, through BTC's ERC-20 precompile.

MUSD PriceFeed

Prices every new bond: the price MUSD liquidates troves on, refused when older than 60 s. It wraps the same Skip feed.

Mezo Router

Turns bond BTC into MUSD on default or protection, with an oracle-bounded minimum.

Mezo Passport

Wallet connection in the app. Tested with EVM wallets; Bitcoin wallets not tested yet.

MUSD borrowing system

Trove mode: the bond poster’s BTC opens a trove; the borrowed MUSD is the bond. Live on testnet.

LIVE ON MEZO TESTNET

Every step is a real transaction.

Released through the web app	Deals #5 and #6, six wallets, ten transactions each
Released, scripted	Deal #2: 99.5 MUSD to the supplier, 0.5 MUSD fee, bond returned
Supplier default	Deal #3: the bond sold BTC on the Mezo pool; the buyer got 30 of 30 MUSD back
Trove-mode default	Trove #1: 895.5 MUSD paid to the buyer from the vault, no BTC sold
Bond protection	Coverage 113.6% on a labeled simulated price feed; BTC sold on the real pool
Open dispute	Deal #4: 70 MUSD held for the arbiter

309

contract tests: unit, fuzz, invariant, fork

100%

line and branch coverage of the contracts

101

web tests

Contracts verified on the Mezo testnet explorer. Escrow 0x9d75…fC85 · trove bond 0xDa13…1Da0. Every hash is in the README.

SAFETY AND LIMITS

BTC-secured, with limits.

What the contracts refuse

- The owner can never move deal funds or bond collateral.
- Release, refund, claim and dispute rulings can never be paused.
- Refunds from escrow never depend on the bond or its price feed.
- No upgradeable proxies.

What can still go wrong

- A BTC bond can fall short in a fast crash; trove mode moves that risk to the bond poster. The app shows coverage at all times.
- MUSD is counted as 1 USD.
- A signature proves the named person signed. It does not prove the goods shipped.
- Testnet only. Not audited.

WHO IT IS FOR

Sourcing agents already vouch for suppliers. Wasit lets them back it.

First users

- Sourcing agents who coordinate buyers, factories and inspections, and can post a bond for a supplier who holds no BTC.
- Outside signers: the way in is live at wasit.app/join (a test wallet in their own browser). No one outside the team has signed a deal yet.
- Freight forwarders and inspectors, who already sign for goods, in the carrier and inspector roles.

Business model to test

- A fee of 0.5% on value actually settled to the supplier, set on chain and capped at 1%. No fee on refunds.
- Published alternatives on a 3,000 order: Escrow.com 78 USD, Alibaba Trade Assurance 90 USD (seller). Wasit: 15 MUSD.
- No fee has been paid by anyone yet. The fee page at wasit.app/economics is a labeled model on testnet volume.

WASIT

BTC-secured, with limits. Live on testnet today.

App	**wasit.app**
Fee model	**wasit.app/economics**
Code, tests and every transaction	**github.com/farouk-allani/wasit**

Farouk Allani · full-stack blockchain developer, DAR Blockchain